

Georgia Wholesale

Moosa Company LLC

Commercial Loan Application

Tucker Hub Acquisition & Development

\$4.6M

Property Acquisition: \$4.6M
Total Square Footage: 40,000 SF
Purpose: Owner-User Acquisition
Submitted to: United Bankshares
Date: September 2025

EXECUTIVE SUMMARY

Georgia Wholesale requests \$4.6 million in commercial financing to acquire the Tucker Hub facility, a strategic distribution center that will eliminate our \$192,000 annual lease expense while creating \$637,067 in immediate equity. This acquisition represents the natural evolution of our thirteen-year growth trajectory within Georgia's expanding convenience store market.

\$115/SF

PURCHASE PRICE

12.2%

BELOW MARKET

676

ACTIVE ACCOUNTS

8.8yr

AVG RELATIONSHIP

Our business has evolved from regional tobacco distribution to comprehensive convenience store supply across forty product categories (excluding fuel and alcohol), generating \$32.3 million in annual revenue. The Tucker facility acquisition at \$115 per square foot—versus comparable sales averaging \$130.93—demonstrates disciplined capital allocation while positioning us for sustained growth in a market where Georgia added 271 net new convenience stores in 2023.

Business Foundation

Established in 2012 and headquartered in Decatur, Georgia, we operate as a full-line convenience retail distributor (excluding fuel and alcohol) serving the Southeast region. Our core competency lies in providing startup and replacement inventory to convenience stores, gas stations, and discount grocers across forty distinct product categories—a breadth that significantly exceeds the three to twelve categories typical of regional competitors.

This strategic diversification has created revenue resilience and customer retention advantages that compound over time. Our average customer relationship spans 8.8 years, with the largest customer representing only 5.8% of total revenue. The top 25% of customers generate 82% of revenue, indicating operational efficiency without dangerous concentration risk.

Leadership and Management

Karim Chranya

CEO & Founder

Strategic leadership with decades in distribution. Previously built, operated, and exited 40+ retail locations, bringing deep understanding of both distribution logistics, development, and retail.

Malik Chranya

Chief Commercial Officer & Co-Founder

Strategic partnerships, key customer relationships, and vendor relationships. Drives customer expansion and partnership development across all market segments.

Rahim Hemani

Operations Director

Warehousing, inventory management, logistics, and distribution efficiency. Responsible for operational scalability and cost optimization across all distribution functions.

Akbar Chranya

Controller, Vice President of Finance

Financial planning and analysis, cash flow management, and decision support. Oversees financial strategy, investment decisions, and performance analytics across all business units.

Revenue Analysis and Market Position

Our \$32.3 million annual revenue reflects deliberate portfolio construction designed to maintain cash-flow and stability while expanding into higher-margin categories. Non-cigarette revenue represents 64.2% of total sales, providing growth opportunities independent of traditional tobacco market fluctuations.

PRODUCT CATEGORY	PERCENTAGE	STRATEGIC ROLE & GROWTH STRATEGY
Cigarettes	34.6%	Cash flow foundation. Manufacturer price increases double our margin on commodity inventory that we front load, enabling aggressive customer pricing that drives traffic and loyalty.
Non-cigarette tobacco	25.7%	Specialize in sourcing to help master distributors meet rebate qualifications through specialized buying and bulk purchasing programs.
Alternative nicotine	14.9%	Supply name brands (Juul, Vuse, Zyn) to other distributors leveraging price advantages. High growth category as consumer preferences evolve and regulations stabilize.
Store supplies	1.5%	Supply to other distributors. Private label and truckload purchasing with direct manufacturer relationships create customer lock-in and superior margins.
Emerging Categories	7.3%	High margin, fast moving, loosely regulated categories. Stable position through compliance verification and legal vetting that differentiates from competitors.
Beverages & food	6.4%	Staple category with significant growth opportunity. Target national & regional distributors' market share by leveraging our speed and price competitiveness.
Other categories	9.6%	Staples and must-carry items. Growth where warranted, eliminate slow movers. Generally high margin, slower moving products that provide portfolio balance.

Redistribution Operations: Strategic Market Control

Redistribution operations generate 34% of our revenue through wholesale-to-wholesale sales. This business model can be substantially increased through better vendor and manufacturer terms, providing quick cash flow and profit while protecting market share by ensuring distribution flows through us. Additionally, it positions us for direct store delivery (DSD) opportunities and exclusive master distributorships that create competitive moats.

Customer Portfolio Analysis

Our 676 active accounts span four distinct segments, each providing different strategic value and growth potential. The portfolio demonstrates both stability through long-term relationships and significant growth potential through systematic account development.

CUSTOMER SEGMENT	ACCOUNT COUNT	REVENUE CONTRIBUTION	STRATEGIC VALUE
Wholesale accounts	26	34%	Redistribution and bulk buying advantage.
Enterprise Accounts	84	28%	Multi-location chains with expansion potential
Large business	85	20%	Regional operator stability
Medium business	109	12%	Growth-stage development
Developing accounts	398	6%	New customer pipeline

Our multi-location customers represent a significant growth opportunity, as chain expansion directly translates to revenue growth without customer acquisition costs. As these operators expand their store networks within Georgia's growing convenience store market, our established relationships position us to capture the distribution needs of new locations automatically.

Wholesale customers are a also powerful growth lever: each new account adds incremental revenue and margin with minimal overhead, strengthens vendor relationships through greater purchasing scale, and improves our ability to secure exclusives and enhanced rebates.

Tucker Hub Strategic Acquisition

Property Analysis and Infrastructure

The Tucker Hub encompasses two integrated properties totaling 40,000 square feet. The primary facility at 2000 Tucker Industrial Road provides 39,500 square feet including 8,760 square feet of office space (demo plans to reduce office to 3,565 square feet). The 2099 Kilman Drive property contributes 15,000 square feet for expansion and specialty operations.

7 + 1
DOCK DOORS + DRIVE-IN

4,680 SF
COVERED LOADING

16'
CLEAR HEIGHT

400 Amp
3-PHASE POWER

2020
NEW TPO ROOF

2 Cranes
1-TON + 4-TON

The facility features seven dock-high doors plus one drive-in ramp, 4,680 square feet of covered loading area, and a fully fenced truck court suitable for outside storage. The infrastructure includes one-ton and four-ton cranes, 400-amp three-phase power, and a 60-mil TPO roof installed in 2020. These specifications support both current operations and significant expansion capacity.

Market Valuation and Value Creation

COMPARABLE PROPERTY	DATE	SIZE (SF)	SALE PRICE	PRICE/SF
2010 Kilman Dr (0.05 miles)	Dec-24	26,466	\$3,700,000	\$139.64
2101 Tucker Industrial (0.2 miles)	Feb-24	40,000	\$5,000,000	\$125.00
4496 Elmdale Dr (0.05 miles)	Sep-23	30,045	\$3,900,000	\$128.14
Market Average				\$130.93
Georgia Wholesale Purchase	2025	40,000	\$4,600,000	\$115.00

Immediate Value Creation: \$637,067
Purchase price of \$115.00/SF versus market average of \$130.93/SF creates immediate equity of \$637,067 (\$15.93 × 40,000 SF). Combined with elimination of \$192,000 annual lease expense, this acquisition generates substantial balance sheet strengthening and cash flow improvement from day one.

Strategic Infrastructure Advantages

The Tucker location provides critical operational advantages that extend far beyond cost savings. The facility sits within 260 miles of Port of Savannah, enabling four-hour container access for direct importing programs. Enhanced docks support simultaneous operations with direct container and flatbed access, while crane capability enables efficient large-volume handling.

Transportation advantages include strategic positioning within I-285/I-85/US-78 corridor density, enabling efficient reach to North Georgia markets including Commerce, Athens, Rome, and Dalton. This geographic expansion potential aligns with our growth objective to increase active accounts from 676 to 1,100+ within 36 months.

Development and Launch Strategy

Our comprehensive six-month implementation plan balances rapid capability enhancement with operational continuity. The strategy encompasses construction phases, growth activation initiatives, and risk mitigation protocols designed to ensure successful transition while maintaining customer service excellence.

Pre-Close Preparation and Permits

T-15 to Day 0

Submit building, MEP, fire, and site permits with 45-day approval target. Order long-lead items including storefront, HVAC units, sprinkler materials, racking, lifts, lighting, and millwork. Launch vendor tradeshow prospectus and open booth reservations.

Phase 1 Enablement and Demo

Weeks 1-8

Secure demo permit and begin non-permit critical path immediately. Execute demolition of interior walls, obsolete fire walls, doors, and electrical drops. Complete concrete prep and polish in warehouse zones. Frame offices, board room, reception, and restrooms. Complete electrical and plumbing rough-in, HVAC hangers and duct layout. Prepare storefront openings and begin site work including dock ramp layout.

Phase 2 Rough-in and Site Completion

Weeks 9-18

Complete MEP rough-ins, pull feeder and branch circuits, pressure test plumbing. Install sprinkler main and branch lines with alarm integration. Set dock ramp, seal coat, restripe with bollards and exterior railings. Install doors, hardware, and ceiling grid. Complete storefront glass installation and first pass warehouse paint application.

Phase 3 Finishes and Commissioning

Weeks 18-24

Complete millwork, interior glazing, restroom fixtures and partitions. Install final lighting, emergency lights, and exit signs. Execute HVAC startup and air balance. Complete sprinkler hydro testing and fire alarm acceptance. Install warehouse shelving and lifts. Final concrete polish and comprehensive punch list completion.

Phase 4 Inspections and Certificate of Occupancy

Weeks 25-30

Complete electrical, mechanical, and plumbing final inspections. Execute fire marshal walk and life-safety sign-offs. Obtain building final inspection and Certificate of Occupancy. Initiate grand opening tradeshow, complete account migration, and load forward-buy inventory secured from show commitments.

Retention Relationships and competitiveness.

Ongoing

Our customer retention approach centers on proactive communication and exclusive value during the transition period. All customers will receive formal notification once construction reaches 45 days from completion, with our executive team making personal calls to all high-value accounts to ensure understanding and address concerns directly. We will actively encourage walk-in customers to transition toward delivery service, offering exclusive deals available only to current customers during the transition period as an incentive to adapt their ordering patterns. New account acquisition will be temporarily scaled back in the months preceding the tradeshow to focus resources on existing relationships and ensure service quality. All customers will receive invitations to attend our vendor tradeshow events, providing them exclusive access to see the new facility capabilities while participating in show-only pricing. Simultaneously, we will roll out a new purchasing incentive system featuring tiered rebates based on volume thresholds, early payment discounts for customers who transition to net-15 terms, and exclusive access to limited-quantity promotional items. This incentive structure rewards loyalty while encouraging larger, less frequent orders that align with our enhanced distribution capabilities at the Tucker facility.

Operational Transition Maintaining stability.

Ongoing

Operations will continue uninterrupted at our current facility until Tucker construction reaches full completion and certification. Overstock inventory will be systematically transferred to the new facility as space becomes available, with incoming shipments gradually rerouted to Tucker for immediate staging and distribution efficiency. During the initial transition phase, deliveries will originate from the new facility while the existing location maintains minimal inventory—approximately one week of on-hand stock—to service walk-in customers who have not yet transitioned to delivery arrangements. This dual-facility approach continues until our grand opening tradeshow, after which the original facility will no longer be accessible to customers and all operations will consolidate at Tucker. Critical system transitions, including POS updates and online ordering platform changes, will be implemented at the current facility to ensure customers master new processes in a familiar environment, minimizing the learning curve and preventing service disruption that could drive customer defection. We will temporarily increase staffing levels by 40% during the transition period, providing additional support for customer questions, order processing, and delivery coordination. This overstaffing approach ensures that any operational complexities remain invisible to customers while our team adapts to new workflows and facility capabilities.

Trade Show New Customers and Additional Revenue

Week 30

The vendor tradeshow transforms the 15,000 SF secondary building into a revenue engine by creating a concentrated marketplace where vendors pay for booth space and fund exclusive pricing to drive immediate sales while we capture new customer relationships and expand existing accounts. This model generates triple value: instant cash flow from show-week sales and vendor payments, systematic customer acquisition through targeted outreach and on-site conversion, and long-term market share gains through vendor-subsidized pricing advantages that extend beyond the event.

1. Revenue Activation Model

The 15,000 SF secondary building transforms into a concentrated sales environment with 30-40 vendors in pre-assigned 10×10 booths surrounding a central order processing station. Vendors pay booth fees of \$1,500-\$2,500 and fund exclusive show-day pricing that we preload into handheld scanners, allowing our sales team to generate purchase orders within minutes while customers move booth-to-booth. Each vendor provides doorbusters and time-limited bundle packs available only during the event, creating urgency that drives immediate decisions and pulls forward 30-60 days of typical purchasing volume. We establish dedicated will-call lanes for small goods pickup and appointment-based loading schedules for pallet quantities, with required deposits securing container-level commitments. Customer registration targets 2,500+ prospects including current accounts, lapsed buyers, and identified competitor customers within our 50-mile service radius, with appointments scheduled by geographic route clusters to maximize our sales team's efficiency in building comprehensive orders across multiple vendor categories.

2. Three-Layer Growth Activation Strategy

Revenue acceleration happens through immediate execution, account acquisition, and market share capture. Show-week sales generate step-function revenue increases through vendor-funded pricing while we secure 30-60 days of forward-buy inventory at locked-in costs, improving margins on subsequent sales. Every prospect receives immediate account setup including tax documentation, credit approval or COD terms, and confirmed opening orders with delivery dates, while our CRM captures buying patterns and contact information. Vendors co-fund category resets and provide planogram support, allowing us to anchor high-velocity SKUs in each category while systematically attaching impulse & core items—cigarettes/tobacco, bags/receipt paper, lighters, wellness products, and beverages—that increase average order size and frequency. Written commitments from vendors include volume targets, extended dating terms, and ongoing promotional support that maintains advantaged pricing beyond the event timeline, creating sustainable competitive positioning in our market.

3. Post-Event Conversion and Retention

Post-event execution locks in customer behavior through systematic follow-up and performance tracking. Our sales team confirms delivery, follows up, and books second orders tied to depletion curves from each customer's opening purchase. At 30, 60, and 90-day intervals, we analyze cohort metrics including new accounts opened, average opening order value, reorder rates, SKUs adopted per account, and gross margin dollars per account. Accounts showing stagnation receive targeted offers or dedicated calls, while fast-moving customers receive expanded assortments and enhanced credit opportunities. This systematic approach generates durable lift across multiple metrics: increased active customer count, higher lines per order, improved cost basis through forward purchases, and recurring vendor-funded promotions that compound throughput at the Tucker facility.

Financial Impact and Risk Assessment

Immediate Financial Benefits

The Tucker acquisition generates quantifiable financial improvements through multiple channels. Lease elimination provides \$192,000 in immediate annual savings, while operational efficiency improvements and route optimization create additional value through enhanced productivity and reduced costs.

- Elimination of \$192,000 annual lease expense
- Immediate equity creation of \$637,067 through below-market acquisition
- Enhanced debt service capacity through improved cash flow
- Container access enabling direct importing for margin improvement
- Aggressive marketing and sales efforts
- Route optimization reducing cost per delivery
- Expanded customer reach and market positioning
- Secondary building lease potential at \$10.50/SF NNN

Growth Projections

The enhanced facility capacity supports our target growth from 676 to 1,100+ active accounts within 36 months, representing 63% customer base expansion. This growth leverages Georgia's convenience store market expansion (271 net new stores in 2023) while utilizing our competitive advantages in product breadth and regulatory compliance.

Redistribution operations offer particular expansion potential. The enhanced bulk wholesale capabilities in the secondary building enable us to substantially increase this high-margin revenue stream while securing better vendor and manufacturer terms through increased volume commitments.

Risk Management

Operational Transition

Risk controls include permit lag contingencies (continue non-structural work), lead-time shock mitigation (approved substitutes), weather buffers (two weeks), and current customer retention plans.

Market Competition

Product breadth across 40 categories creates switching costs. Fast delivery capabilities and comprehensive regulatory compliance for rebates (tobacco, vapor, alternative nicotine) provide competitive differentiation, along with price competitiveness.

Regulatory Compliance

Full MSA reporting where applicable and comprehensive licensing across tobacco, vapor, and alternative nicotine categories. Diversified revenue reduces regulatory concentration risk.

Credit Risk

Low customer concentration (largest at 5.8%), tiered credit limits, and 8.8-year average relationships provide natural diversification and stability.

Banking Partnership and Financing Structure

This financing request builds upon our established relationship with United Bankshares, leveraging institutional knowledge and demonstrated performance. The Tucker acquisition provides excellent collateral characteristics through immediate equity creation and strategic location, while the owner-user structure aligns our interests with long-term value preservation.

Conservative Capital Structure

Our approach emphasizes sustainable growth supported by prudent leverage levels. The Tucker facility provides the infrastructure for expansion while maintaining financial flexibility for inventory growth and working capital requirements as we scale operations.

The Tucker Hub acquisition represents more than real estate optimization—it establishes the operational foundation for capturing market share in Georgia's growing convenience store sector while strengthening our competitive position through enhanced capabilities and cost structure improvements.

Karim Chranya

CEO
Georgia Wholesale
September 2025

Akbar Chranya

Controller, VP Financial
Georgia Wholesale
September 2025